Question 1

Burrstock plc

You work in the finance department of Burrstock plc ('Burrstock'), a UK-based listed mobile telecommunications company. Burrstock is considering producing an Integrated Report for the first time in the current year. One of the non-executive directors, Sam, has attempted to identify examples of Burrstock's capitals.

Financial capital

Sam proposed that the company's extensive portfolio of patents related to mobile phone technology constitutes financial capital, given that these patents are expected to generate future economic benefits for the company.

Social and relationship capital

In addressing community relations, Sam noted that Burrstock's efforts to minimise disruptions when installing new mobile phone masts should be classified as social and relationship capital.

Human capital

Sam pointed to Burrstock's fast-track management scheme as a relevant example of human capital. This scheme offers experienced managers the opportunity to work, manage, and lead across the company's key operational areas, thereby enhancing their skills and leadership capabilities.

Manufactured capital

Sam observed that, since Burrstock is not involved in manufacturing, it does not possess any manufactured capital.

Sam has queried whether producing an Integrated Report is necessary as he regards the Strategic Report as the optimal means of communicating company-related information to Burrstock's key stakeholders and does not see why an additional report would be useful to these stakeholders.

Required:

1. Advise, with reference to the definitions of 'capitals' used in the Integrated Reporting Framework provided in the Appendix, whether the non-executive director has categorised the examples identified in Burrstock correctly.

(8 marks)

2. Advise on the purpose of the Strategic Report and how producing an Integrated Report can provide stakeholders with useful information that is not provided in the Strategic Report.

(6 marks)

Total marks (14 marks)

Appendix

Description of the Capitals from the IR Framework

- ***Financial capital*** – The pool of funds that is:
  - Available to an organization for use in the production of goods or the provision of services
  - Obtained through financing, such as debt, equity or grants, or generated through operations or investments.
- ***Manufactured capital*** – Manufactured physical objects (as distinct from natural physical objects) that are available to an organization for use in the production of goods or the provision of services, including:
  - Buildings
  - Equipment
  - Infrastructure (such as roads, ports, bridges, and waste and water treatment plants).

  Manufactured capital is often created by other organizations, but includes assets manufactured by the reporting organization for sale or when they are retained for its own use.
- ***Intellectual capital*** – Organizational, knowledge-based intangibles, including:
  - Intellectual property, such as patents, copyrights, software, rights and licences
  - "Organizational capital" such as tacit knowledge, systems, procedures and protocols.
- ***Human capital*** – People's competencies, capabilities and experience, and their motivations to innovate, including their:
  - Alignment with and support for an organization's governance framework, risk management approach, and ethical values
  - Ability to understand, develop and implement an organization's strategy
  - Loyalties and motivations for improving processes, goods and services, including their ability to lead, manage and collaborate.
- ***Social and relationship capital*** – The institutions and the relationships within and between communities, groups of stakeholders and other networks, and the ability to share information to enhance individual and collective well-being.

  Social and relationship capital includes:
  - Shared norms, and common values and behaviours
  - Key stakeholder relationships, and the trust and willingness to engage that an organization has developed and strives to build and protect with external stakeholders
  - Intangibles associated with the brand and reputation that an organization has developed
  - An organization's social licence to operate.
- ***Natural capital*** – All renewable and non-renewable environmental resources and processes that provide goods or services that support the past, current or future prosperity of an organization. It includes:
  - Air, water, land, minerals and forests
  - Biodiversity and eco-system health.

Question 2

Stockton plc

You work in the finance department of Stockton plc ('Stockton'), a UK-based leading manufacturing firm. Stockton prepares its financial statements in accordance with IFRS Accounting Standards and sustainability-related financial disclosures in accordance with IFRS Sustainability Disclosure Standards.

One of Stockton's directors expressed doubts over the financial sustainability of Stockton's decision to announce and implement a net zero plan, as the director believes that the financial impact has not been adequately measured and discussed. The director believes that some of Stockton's assets, including a manufacturing facility, face the risk of becoming stranded due to the implementation of the net zero plan. Relevant information is included in the Appendix.

Required:

1. Advise which type of climate-related risk Stockton faces and why climate-related matters need to be considered when preparing financial statements under IAS 1 Presentation of Financial Statements and other relevant standards. Your answer should refer to the manufacturing facility.

(7 marks)

2. Advise how the reporting principles set out in IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information* promote consistency between Stockton's financial and non-financial reporting.

(3 marks)

Total marks (10 marks)

Appendix – Information relating to assets

Stockton has a facility which is a cash-generating unit. The facility produces items that are expected to face shifts in consumer preferences toward more sustainable and environmentally friendly products.

Additionally, the facility lacks the technological upgrades needed to ensure energy efficiency and lower greenhouse gas (GHG) emissions, raising concerns about its alignment with Stockton's net zero strategy.

Question 3

Wayne Ltd

You are a senior accountant at Wayne Ltd (Wayne) a UK-based listed company operating in the oil and gas industry. You are responsible for preparing Wayne's financial statement for the year ended 31 December 20X5. Wayne prepares financial statements in accordance with IFRS Accounting Standards and also prepares a sustainability report in accordance with Global Reporting Initiative (GRI) Standards.

Wayne is known for its commitment to environmental sustainability and remediation efforts and has provided information in its Strategic Report regarding its ongoing commitment and efforts. Relevant information is in Appendix 1.

On 1 July 20X5, Wayne was informed that it had contaminated a water source in Country X. Relevant information is included in Appendix 2.

Required:

1. Advise whether Wayne is required to report on environmental matters in its Strategic Report and identify any inconsistencies between the extract provided in Appendix 1 and the information in Appendix 2.

   You might wish to refer to the Companies Act extracts resource when answering this question.

   (4 marks)

2. Advise how the potential contaminated water remediation, the legal claim and the donation referred to in Appendix 2 should be accounted for in the year ended 31 December 20X5 in accordance with IAS 37 *Provisions, Contingent Liabilities and Contingent Assets.*

   (9 marks)

3. Advise, with reference to materiality, whether Wayne should disclose the wider societal impact of the contaminated water under GRI Standards.

   (3 marks)

Total marks (16 marks)

Appendix 1 – Extract from the strategic report

Strategic Report extract

Wayne prides itself on being at the forefront of environmental restoration efforts within the oil and gas sector. Our comprehensive environmental strategy is embedded in our core business operations, focusing on mitigating our environmental impact and ensuring sustainable practices across all our projects. We commit to mitigating the environmental impact of our operations, going above and beyond our legal obligations to ensure that the negative effects of our operations are minimised. We have initiated several successful projects aimed at restoring and protecting the natural environment in our areas of operation, receiving positive recognition from local communities for our efforts in several countries. In the future, we will continue to develop the next generation of tools and processes to support our environmental restoration efforts.

Appendix 2 - Contaminated water source

The law in Country X is lenient towards remediation by companies and therefore Wayne is not legally required to repair the damage caused but it does have a established history of doing so in accordance with its published commitments. Should the company decide to undertake remediation, it is expected that this will cost £10 million and will take place in three years' time. An appropriate discount rate is 9%. A group of local environmental campaigners has launched a legal claim for £2m against Wayne for damage caused. The case is ongoing a 31 December 20X5 however, Wayne’s lawyers have advised that the environmental group is unlikely to be successful in their claim. Wayne intends to donate £500,000 to local community projects in 20X6 to improve relations following the contamination.

Question 4

Malone plc

Malone Ltd ('Malone') is a UK-based company that operates in the oil and gas industry, a sector that is increasingly confronted with the challenges posed by climate change. In its Strategic Report, the company discusses transitional risks and the related extract is provided in the Appendix.

The transition to a lower carbon economy has affected the future development or viability of exploration prospects, which has resulted in an impairment of intangible assets totalling £2.4 billion. Investors and analysts have expressed confusion over the recognition of impairment losses, suggesting that the financial results were significantly impacted by this recognition for a risk that is not immediate. As a member of the management team, you are required to respond.

Malone prepares financial statements in accordance with IFRS Accounting Standards and, up to last year, prepared sustainability disclosures in accordance with IFRS Sustainability Disclosure Standards.

Required:

1. Advise why the recognition of the impairment loss is justified under IFRS Accounting Standards and discuss any ethical considerations when accounting for asset impairments.

(5 marks)

2. Advise on the disclosure requirements under IFRS Accounting Standards and IFRS Sustainability Disclosure Standards.

(6 marks)

3. Advise on the importance to stakeholders of ensuring consistency between financial and non-financial reporting with respect to climate-related issues.

(5 marks)

Total marks (16 marks)

Appendix

Extract from the Strategic Report

Transitional climate-related risks

We attach increasing weight to the possibility that countries will accelerate the pace of transition to a lower carbon economy. We revised our long-term price assumptions downward and also extended them to 2050 to align with the horizon of our ambition. The role of long-term price assumptions is to help ensure our future projects are resilient to the longer-term trends affecting our industry. Our revised investment appraisal long-term price assumptions are now an average of around $55 per barrel for Brent oil (from $70 per barrel) and $2.90 per million British thermal units (mmBtu) for Henry Hub gas (from $4.00 per mmBtu), from 20W1- 20Z0. We consider these lower long-term price assumptions to be broadly in line with a range of transition paths consistent with the Paris Agreement goals.

Question 5

Darlington Ltd

Darlington Ltd ('Darlington') is a UK-based company that operates in the dynamic fast fashion industry. Darlington prepares financial statements in accordance with IFRS Accounting Standards and prepares a sustainability report in accordance with GRI Standards.

The company operates a digital platform and offers an extensive range of clothing and fashion accessories at affordable prices, using a wide network of manufacturers to quickly fulfill consumer demand. The company faced significant scrutiny over its environmental impact and the sustainability of its production processes. Darlington observed a significant drop in customer demand for some of its products, a fall which was directly attributed to the public's increasing awareness and concerns over environmental and ethical issues within the fast fashion sector. Darlington has not carried out a detailed analysis of the financial impact of the drop in demand.

In response to stakeholder concerns regarding its environmental footprint, Darlington has prepared draft disclosures relating to its greenhouse gas (GHG) emissions, in line with GRI 305: Emissions. The draft disclosures are provided in Appendix 1 and an extract from GRI 305 is in Appendix 2.

The Finance Director, who is a CA, has stated that she believes that it is important to report aspirational targets rather than achievable targets to show that Darlington is aiming high in terms of reducing emissions. She has however acknowledged that they are not expert in the requirements of GRI Standards but feel they have done their best to apply the requirements based on their understanding. They have stated that they do not believe that the information relating to the customer demand needs to be disclosed in the notes financial statements, as the impact will be clear from the financial statements and there is no need to draw attention to negative information.

Required:

1. Evaluate the extent to which Darlington's draft GHG disclosures in Appendix 1 comply with the requirements of GRI 305: *Emissions* as described in Appendix 2.

(9 marks)

2. Advise, providing explanations in accordance with IFRS Accounting Standards, of the potential impact of Darlington's:
   i. inventories
   ii. intangible assets (digital platform)

(6 marks)

3. Advise, with reference to fundamental ethical principles, of any ethical issues that arise from the draft disclosures and the Finance Director's statement. You do not need to recommend any actions

(4 marks)

Total marks (19 marks)

Appendix 1: Darlington's draft GHG Emissions disclosures

We strongly support the Paris Agreement goals and have thus set emissions reduction targets approved by the Science Based Targets initiative (SBTi).

By 20X3+5 years, we are planning to reduce carbon emissions in line with the Paris Agreement, including 70% reductions in emissions from our own operations (Scope 1 and Scope 2) compared with the base year. Further, we are committed to reducing Scope 3 emissions by 50% per million pounds gross profit by 20X3+5 years compared with the base year.

Carbon footprint	**Unit**	**20X3**	**20X2**	**Base Year**
Greenhouse gas (GHG) emissions				
— Scope 1 emissions	t CO2e*	4,500	4,400	5,000
— Scope 3 emissions	t CO2e	6,000,000	6,200,000	8,000,000
Greenhouse gas (GHG) emissions (Total; Scope 1,2, 3)	t CO2e	6,005,100	6,204,980	8,005,700
— Carbon offset	t CO2e	400,000	380,000	Nil

* tonnes of carbon dioxide equivalent

Appendix 2: Extracts from GRI 305: Emissions

The reporting organisation shall report the following information:

a) Gross direct (Scope 1) GHG emissions (in metric tonnes of CO2 equivalent).
b) Gross location-based energy indirect (Scope 2) GHG emissions (in metric tonnes of CO2 equivalent).
c) Gross other indirect (Scope 3) GHG emissions (in metric tonnes of CO2 equivalent).
d) GHG emissions intensity ratio for the organisation.
e) GHG emissions reduced as a direct result of reduction initiatives (in metric tonnes of CO2 equivalent).
f) Scopes in which reductions took place; whether direct (Scope 1), energy indirect (Scope 2), and/or other indirect (Scope 3).
g) Standards, methodologies, assumptions, and/or calculation tools used.